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DEEPINDER GOYAL WAS ready to put everything on the line. It was a blistering May afternoon in 2022, and the Zomato Co-founder & CEO was engrossed in discussions about a potential buyout of quick commerce player Blinkit with CFO Akshant Goyal at the Co-founder's farmhouse in Delhi. If the deal went through, the Gurugram-headquartered company would gain a foothold in the growing quick commerce space. The hitch was the asking price.

34 | "Akshant and I knew investors would not like it, but we decided to go for it. Our logic was if someone else did it three years later, it would have hurt since we had the money but succumbed to investor pressure," says 41-year-old Goyal, an IIT Delhi alumnus. The duo thought that the worst that could happen would be that they would get fired. But it made sense to go all in. "It was a paradoxical situation since we could see the opportunity but did not want people to know since the competition was bigger than us," says Goyal. What complicated matters further was that the Zomato stock was down by a third since its listing in July 2021. "Our necks were on the line, and we were doing this right in the middle of a downturn," says Akshant, 40, an IIM Bangalore alumnus, who has been with Zomato for nearly seven years. The all-stock deal was sealed in

June 2022 at \$569 million (then ₹4,447 crore).

It has been one and a half years since. Both have retained their jobs; Zomato has posted three consecutive quarters of profit (for Q3FY24, it posted net profit of ₹138 crore and total income of ₹3,507 crore); and investors are loving the stock (it has gained more than 30% since its listing). And, the new-look Zomato is expanding beyond its core online food delivery space, banking on businesses like Blinkit and Hyperpure (a B2B platform for kitchen supplies).

BRINGING IT TOGETHER

Consumer insights power Zomato's growth. Per the company, it has a customer base of 30-40 million across its businesses. The management says sound knowledge of how customers think leads to a right to win. "That knowledge is intangible. It is not about synergy-first, but rather being in different businesses and building that common thread," says Akshant. That insight came in 2021 when there were many 10-minute delivery businesses globally. While the opportunity for quick commerce in terms of scale was clear, the hitch was the limited share of organised retail in India. "Buying behaviour is different here since we don't stock but buy daily. The concept came from the West but was more applicable here," he explains. So, the service had to be reimaged.

When Blinkit (known as Grofers in its earlier form) was bought, it was losing ₹150 on each order. Selling at a discount brought in demand, but a decision was made to charge for delivery. Insights from the food delivery business helped: four years ago, Zomato was losing ₹120 on an order with a ticket size of ₹300. Despite charging for delivery, demand sustained and so did the customer base; it now makes a profit of ₹10 per order. For Blinkit, data showed 100 new customers stayed back after three to four months and that was better than Zomato—plus the order magnitude was 2x and the three-month reten-

THE ROAD MAP



From a platform for restaurant discovery, Zomato has become a successful food delivery player

